Criteria	Futures	Options
Margin requirements	Futures require mark-to-market margins to cover daily price fluctuations.	Options only need a premium.
Reason for popularity	The margin payments provide a leverage that makes them attractive.	Their appeal lies in their higher leverage and flexibility in deciding whether to execute the transaction.

*Here, leverage refers to the ability to access a much greater financial position than the amount you deposited at the outset. For example, a greater leverage may let you multiply your initial position by ten times or more.

Suppose you are an option buyer. The premium is your maximum risk, but the reward can be unlimited. Conversely, for option sellers, the premium received is the maximum reward, but the risk can be limitless.

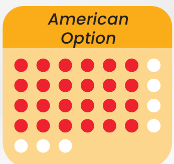
Option Buyer

- Maximum Risk: Premium
- Maximum Reward: Unlimited (for calls), Substantial (for puts)

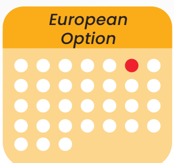
Option Seller

- Maximum Risk: Unlimited
- Maximum Reward: Limited to premium

There are two types of options



American: You can exercise them before or on the expiry date.



European: You can exercise them only on the expiry date